

Financial Statements

Income
Statement

Cash Flow
Statement

Statement
Changes in Equity

Balance
Sheet

In this book, we will start with Financial Statements and getting to know the basics of the same. We will then jump on to obtaining data for our analysis. After that, we will move forward and learn about how to analyse each line item in the financial statements to understand the company better.

Going ahead, we will use an excel template like this-

PARTICULARS	FY 2016	FY 2017	FY 2018	FY 2019	FY 2020	FY 2023
Revenue from Operations	0	0	0	0	0	0
Excise duty	0	0	0	0	0	0
Net Revenue	0	0	0	0	0	0
Operating Expenses -						
Cost of goods sold						
Employee Benefit Expense	0	0	0	0	0	0
Depreciation and Amortisation						
Other operating expenses:						
Clearing, forwarding and octroi duty						
Advertisement and Publicity						
Contract labour						
Other Operating Expense						
Other operating expenses	0	0	0	0	0	0
EBITDA	0	0	0	0	0	0
EBIT	0	0	0	0	0	0

This will help us break down the entire financial statement into multiple parts: Income Statements, Balance Sheet, Statement of Changes in Equity, Cash Flow Statement. Then we will understand every line item and the things that need to be kept in mind.

NOTES TO ACCOUNTS

We aim to have a complete understanding of the company's performance. This book will be super fun, exciting, and useful, and we will practice along so that we learn along with the chapters. Remember, the real value is in the practice. You will be able to extract most from this book, if you practice along as well.

In the next chapter of this book, we start by answering the question What is financial statement analysis, and why is it needed? We will start with the basics of financial statement analysis in the next chapter.